

ITC Limited

Formula-driven FCFF valuation & exploratory macro regression

INR 362.7	37.7%	9.5%	4.5%
Illustrative DCF / share	Gap to reference price	Central WACC	Terminal growth

CORE QUESTION

What does a transparent five-year FCFF model imply for ITC under explicit operating, working-capital and discount-rate assumptions - and which conclusions remain too uncertain to present as investment recommendations?

Reference price	INR 263.50	FY26 revenue	INR 89,913.33cr
FY26 PAT	INR 20,689.47cr	Shares outstanding	1,252.95cr
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Independent research for portfolio / educational purposes. The DCF is an illustrative scenario output, not a price target or investment recommendation.

Executive summary

The uploaded workbook produces an illustrative central DCF of INR 362.7 per share against the INR 263.50 reference price used in the analysis, implying a 37.7% gap. The central case uses a 9.5% WACC and 4.5% terminal growth rate.

The model is formula-driven, begins from FY26 consolidated actuals, forecasts five years of FCFF and includes a WACC / terminal-growth sensitivity. The valuation should be read as a scenario rather than a recommendation.

The reference price is the market reference used in the analysis and is not presented as a newly independently verified 9 September 2026 closing price.

Audit conclusion: the DCF arithmetic reconciles internally. The prior compact PDF contains stale forecast and valuation figures that do not match the uploaded workbook; this restyled report uses the workbook's current values.

CENTRAL OUTPUTS

INR 83,801cr	INR 344,039cr	INR 427,841cr	INR 454,489cr
PV explicit FCFF	PV terminal value	Enterprise value	Equity value

Historical inputs & central assumptions

Historical input	FY26
Revenue	INR 89,913.33cr
EBIT	INR 28,033.18cr
D&A	INR 1,710.53cr
PAT attributable to owners	INR 20,689.47cr
Inventory	INR 18,622.96cr
Net working capital	INR 16,906.27cr

Central assumption	Value
Tax rate	25.0%
D&A / revenue	1.9%
Capex / revenue	2.6%
NWC / revenue	18.7% FY27E -> 18.0% FY31E
WACC	9.5%
Terminal growth	4.5%

The model separates operating assumptions from valuation assumptions, making the main drivers visible and testable.

Revenue, EBIT & FCFF

FY	Revenue (INR cr)	EBIT (INR cr)	FCFF (INR cr)
FY27E	96,656.8	27,063.9	18,452.8
FY28E	104,002.7	29,536.8	20,258.9
FY29E	111,386.9	32,079.4	22,136.6
FY30E	118,404.3	34,574.1	24,054.3
FY31E	125,390.2	37,240.9	25,913.9

Driver	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue growth	7.5%	7.6%	7.1%	6.3%	5.9%
EBIT margin	28.0%	28.4%	28.8%	29.2%	29.7%

FCFF is constructed as NOPAT + D&A - capex - change in net working capital. The model therefore makes cash-conversion assumptions visible rather than valuing EBIT directly.

Current-workbook check: these forecast values supersede the slightly different figures in the uploaded compact PDF.

Enterprise-to-equity bridge

Component	Central case
PV explicit FCFF	INR 83,801.2cr
PV terminal value	INR 344,039.4cr
Enterprise value	INR 427,840.6cr
Valuation adjustments	INR 26,648.6cr
Equity value	INR 454,489.2cr
Shares outstanding	1,252.95cr
Illustrative value / share	INR 362.7
Gap to reference price	37.7%

ARITHMETIC CHECKS

Enterprise value = INR 83,801.2cr + INR 344,039.4cr = INR 427,840.6cr.

Equity value = INR 427,840.6cr + INR 26,648.6cr = INR 454,489.2cr.

Value / share = INR 454,489.2cr / 1,252.95cr shares = INR 362.7.

The terminal value is the dominant component of enterprise value, so the WACC / terminal-growth sensitivity is essential rather than optional.

WACC / terminal-growth matrix

WACC \ TG	3.5%	4.0%	4.5%	5.0%	5.5%
8.5%	374.7	407.9	449.4	502.7	573.7
9.0%	342.0	368.7	401.2	441.9	494.3
9.5%	314.8	336.6	362.7	394.7	434.7
10.0%	291.7	309.8	331.2	356.9	388.3
10.5%	272.0	287.2	305.0	326.0	351.3

Central case: 9.5% WACC / 4.5% terminal growth = INR 362.7 per share.

Across the displayed assumptions, implied value ranges from roughly INR 272 to INR 574 per share, demonstrating how sensitive a long-duration DCF is to discount-rate and terminal-growth choices.

ITC returns, repo-rate changes & NIFTY returns

Term	Coefficient	HC1 robust SE	p-value
Intercept	-0.000649	0.006457	0.919946
Repo change	0.112253	0.026771	0.00002753
NIFTY return	0.951274	0.146506	8.41e-11

64	0.3682	May 2021	Aug 2026
Observations	R-squared	Sample begins	Sample ends

Specification: $ITC_Return \sim Repo_Change + NIFTY_Return$, using HC1 robust covariance and normal-approximation p-values. Re-running the supplied CSV reproduces the workbook and R-script coefficients, robust standard errors, p-values and R-squared.

The regression remains exploratory association analysis rather than a causal design. The supplied monthly return series can be reproduced from the CSV, but the underlying price observations, corporate-action adjustments and extraction timestamps were not supplied for independent certification.

Audit result: regression outputs reproduce exactly to the displayed precision from the supplied 64-row dataset.

Sources, limitations & audit notes

Source / evidence	Use
ITC quarterly results	FY26 financial inputs and operating context
ITC Q1 FY27 media statement	Current operating context
RBI policy statements	Policy-rate dates used in regression dataset
Uploaded regression CSV + R script	Regression replication
Uploaded Excel workbook	Forecast, DCF and sensitivity source of truth for this report

AUDIT FINDINGS

- DCF arithmetic reconciles: explicit-period PV + terminal-value PV = enterprise value; enterprise value + valuation adjustments = equity value; equity value / shares = value per share.
- The regression independently reproduces from the supplied CSV and matches the supplied R-script reference outputs.
- The uploaded compact PDF is stale versus the uploaded workbook: its forecast, PV, enterprise-value and equity-value figures differ slightly from the workbook. This new report uses the workbook's current figures.
- One workbook presentation bug remains: DCF row 'Illustrative gap' displays the value-per-share output rather than the percentage gap. The Dashboard gap is correct at 37.7%.
- The underlying monthly stock/index price observations were not supplied, so the return series itself is reproduced but not independently certified.
- SOTP and forward-P/E cross-checks remain omitted because independently dated peer multiples and a fully sourced forward-earnings bridge were not supplied.

Prepared independently by Ayush Chakraborty | September 2026

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